

AI Washing

What is AI Washing?

AI washing is a deceptive promotional practice that exaggerates or outright lies about a product or service's use of artificial intelligence (AI). The objective of AI washing is to capitalize on people's interest in AI and make an offering seem to be more cutting-edge than it really is. For example, a company may claim their chatbot is "Powered by the latest AI technology" when in reality, **it** simply matches keywords with pre-written responses.

Although every AI washing definition explains that the marketing tactic is deceptive, it's important to note that sometimes the deception is unintentional. Marketers may overstate the role of artificial intelligence in **their** offerings simply because they don't fully understand the technology.

How AI Washing Works

AI-washed marketing deliverables will often use vague language and AI-related jargon to capitalize on a general lack of understanding about what AI really is and how **it** works. For example, a company may claim its product is "AI-powered" because it can be used to automate workflow. Or they may claim the cloud service they offer uses machine learning (ML) because it can analyze data.

The problem is that automation and data analysis functions can often be achieved with programmed instructions that never change. To be truly "Powered by AI," artificial intelligence has to be an integral part of how the product or service works.

Why Do Companies Engage in AI Washing?

Companies that want to associate artificial intelligence with their brand may engage in AI washing in order to:

- Increase consumer and investor interest.
- Increase brand value.
- Inflate the perceived value of a product/service.
- Justify a higher price point.
- Distract attention from a product or service's shortcomings or limitations.
- Stay competitive in a fast-moving market.
- Create the perception they are more advanced than a specific competitor.

How To Avoid Vendors Engaging in AI Washing

It's important for vendors to use the term "AI" accurately in both their internal communications and their customer facing sales and marketing materials. Look for vendors whose websites include a glossary of AI-related terminology if you want

to avoid companies that are AI washing. If the company claims to develop AI in-house instead of purchasing AI as a service (AlaaS), look at the “Who We Are” section of their website to see if the management team has the necessary skills to create AI models and tune foundation models for specific types of tasks. While you are visiting the corporate website, check to see if they’ve published case studies or customer testimonials that explain how the vendor’s artificial intelligence has helped them solve a very specific problem.

If you are speaking with a vendor representative and are concerned their company may be AI washing intentionally or unintentionally, consider asking these three questions:

1. **Would you please define what you mean by AI?** The company’s AI claims should be explainable and easily understood.
2. **What AI technology does your product/service rely on for its core functionality?** Don’t be afraid to remind the representative that using an AI tool in the development process does not make an offering “AI-powered.”
3. **What kind of data did you use to train your AI models, and how do you deal with bias and model drift?** If the vendor rep can’t explain their answer clearly or doesn’t seem to know anything about model operations, it should be a red flag.

Why is AI Washing Bad?

Like any deceitful marketing tactic, AI washing can end up backfiring. When consumers purchase or subscribe to products/services that fail to deliver the AI capabilities that were advertised, they are likely to “vote with their feet.” This means they will stop using the product/service and seek out alternatives that truly deliver on their promises. It’s likely they will also use social media or customer review platforms to express their disappointment. Negative posts can result in a loss of trust and more negative posts, which in turn, can ultimately turn AI into just another tech buzzword. Unfortunately, all the negative publicity created by companies that AI wash can harm the perception of AI as a whole, and make it harder for legitimate AI projects to gain trust and funding.

AI Washing Regulatory Landscape

If a company claims to offer AI-powered solutions but fails to adequately explain how AI is used – or it exaggerates the role AI plays in its product/service – this could simply be regarded as misleading, which is bad enough. However, if the misrepresentations are made with the intention of purposely deceiving consumers or investors to gain financial or other benefits, **they** may be regarded as fraud, and **this** can have legal consequences.

The threshold for what constitutes misleading practices or fraud, particularly in the context of AI, often depends on the degree to which the company exaggerated or misrepresented the capabilities of its product, as well as its intent. Currently, there’s no single comprehensive law that specifically addresses AI washing. However, several existing and

emerging regulations and guidelines around the world address the broader issues of AI transparency, AI ethics, and AI accountability, which indirectly impact AI washing.

For example, the European Union Artificial Intelligence Act (EU AI Act) is expected to legally define AI and mandate transparency requirements. This could end up deterring AI washing by obligating companies to substantiate their claims about using AI.

The Bottom Line

It can be tempting for marketers to take advantage of people's fuzzy understanding of artificial intelligence and slap the label AI on anything that was developed with the help of artificial technology tools. However, to legitimately wear the label "Powered by AI," artificial intelligence needs to be a core component of the product/service and significantly contribute to **its** value proposition. This means that AI should be integral to how the product or service operates. It has to enhance the product/service performance, efficiency, or user experience in ways that would not be possible with traditional computing methods alone.

- 1) In a sentence, summarize the problem that this article addresses.
- 2) Indicate whether these statements are true or false. Justify by highlighting the lines that support your answer.
 - a. Banco Patagonia can't claim that it's "powered by AI" solely on the basis of its "Padi" assistant.
 - b. If a company uses machine learning to automate its data analysis, then it's an instance of a company powered by AI.
 - c. One of the reasons for engaging in AI washing is for a company to charge people more for a particular product.
 - d. Customers that "vote with their feet" are likely to continue spending on companies that engage in AI washing, despite having found their products wanting.
 - e. No country has laws against AI washing.
 - f. The expression "*slap the label AI*" implies that the company that does this isn't careful

about what constitutes AI.

3) Find what the words in yellow refer to.

4) Taking into account these sentences a) find the verb phrase, b) indicate the verb tense, c) translate the sentence:

- a. AI-washed marketing deliverables will often use vague language and AI-related jargon to capitalize on a general lack of understanding about what AI really is and how it works
- b. The vendor's artificial intelligence has helped them solve a very specific problem.
- c. The objective of AI washing is to capitalize on people's interest in AI and make an offering seem to be more cutting-edge than it really is.

5) Find the head noun and translate these phrases

- a. a deceptive promotional practice that exaggerates or outright lies about a product or service's use of artificial intelligence (AI)
- b. the cloud service they offer
- c. an integral part of how the product or service works.
- d. vendors whose websites include a glossary of AI-related terminology
- e. customer testimonials that explain how the vendor's artificial intelligence has helped them solve a very specific problem
- f. the intention of purposely deceiving consumers or investors to gain financial or other benefits

6) Four of the NPs above contain RELATIVE CLAUSES. Which are they? What's the modified noun in each case?

7) Answer these questions about the underlined expressions:

- a. What's an example of *cutting-edge* technology?
- b. Give an example of a company that *automates its workflow*.
- c. What are the *shortcomings* of Banco Patagonia's home banking website?
- d. What's the opposite of a *fast moving market*? Provide an example.
- e. What does *tuning* a particular tool for a specific function imply?

- f. Give an example of a *red flag* that appears when a person pretends to know more about AI than he/she really does.
- g. Provide an example of a *tech buzzword* that used to be popular in the 90's.
- h. What are the consequences of *harming the perception of AI as a whole*?
- i. If an action crosses the *threshold* of what is legal, what does this imply?
- j. If I say that a person's understanding of AI is *fuzzy*, are their ideas clear?
- k. What are some *core components of AI*?

8) How do the words in **bold** contribute to the overall meaning of these sentences?

- a. For example, a company **may** claim their chatbot is "Powered by the latest AI technology" when in reality, it simply matches keywords with pre-written responses.
- b. The company's AI claims **should** be explainable and easily understood.
- c. Or they may claim the cloud service they offer uses machine learning (ML) because it **can** analyze data.

9) In the following sentences, two events are presented. Which of these depends on the other?

- a. Look for vendors whose websites include a glossary of AI-related terminology if you want to avoid companies that are AI washing.
- b. If the company claims to develop AI in-house instead of purchasing AI as a service (AIaaS), look at the "Who We Are" section of their website to see if the management team has the necessary skills to create AI models and tune foundation models for specific types of tasks.
- c. If a company claims to offer AI-powered solutions but fails to adequately explain how AI is used – or it exaggerates the role AI plays in its product/service – this could simply be regarded as misleading, which is bad enough.
- d. If the misrepresentations are made with the intention of purposely deceiving consumers or investors to gain financial or other benefits, **they** may be regarded as fraud, and this can have legal consequences.